THE NATIONAL COMPANY LAW TRIBUNAL
CHANDIGARH BENCH (COURT-II), CHANDIGARH

CA (CAA) No. 36/Chd/Pb/2024
(1st Motion)

Under Sections 230 & 232 read with Section 66 and other relevant provisions of the Companies Act, 2013, the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016, the National Company Law Tribunal Rules, 2016, and other applicable provisions, if any,

IN THE MATTER OF SCHEME OF ARRANGEMENT OF:

Glosec Finance Pvt Ltd
CIN: U65921PB1971PTC003076
PAN: AAACM9259Q
through its Managing Director
Mr. Parminder Singh
having its registered office at
The Axis, First Floor, Plot No. 1,
R.B. Badri Dass Colony, BMC Chowk, G.T. Road,
Jalandhar-144 001, Punjab

....
…Applicant No. 1/ Demerged Company

And

Midland Motor Finance Pvt Ltd
CIN: U68100PB2024PTC062206
PAN: AASCM3951B
having its registered office at
The Axis, First Floor, Plot No. 1,
R.B. Badri Dass Colony, BMC Chowk, G.T. Road,
Jalandhar-144 001, Punjab

…Applicant No. 2/ Resulting Company

Order delivered on: 12.11.2024

Coram: HON'BLE MR HARNAM SINGH THAKUR, MEMBER (JUDICIAL)
HON'BLE MR UMESH KUMAR SHUKLA, MEMBER (TECHNICAL)

For the Applicant Companies: Mr. Rajeev K Goel, Mr. Kartikeya Goel, and Mr. Viplav Goel, Advocates

ORDER

Per: Mr. Harnam Singh Thakur, Member (Judicial)
Mr. Umesh Kumar Shukla, Member (Technical)

This is a Joint First Motion Company Application (hereinafter referred to as the "Application") filed under the Sections 230 & 232 read with Section 66 and other relevant provisions of the Companies Act, 2013 (hereinafter referred to as the "Act"), the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 (hereinafter referred to as the "Rules"), the National Company Law Tribunal Rules, 2016 (hereinafter referred to as the "NCLT Rules"), and other applicable provisions, if any, by **Glosec Finance Pvt Ltd** (hereinafter referred to as the "Applicant No. 1" or "Demerged Company") and **Midland Motor Finance Pvt Ltd** (hereinafter referred to as the "Applicant No. 2" or "Resulting Company") (hereinafter Applicant No.1 and 2 collectively referred to as the "Applicant Companies") in connection with the proposed Scheme of Arrangement of Applicant No.1 and Applicant No.2 (hereinafter referred to as the "Scheme") to obtain appropriate orders to dispense with/ convene the meetings of Shareholders, Secured Debenture holders, Secured Creditors and Un-secured Creditors of the Applicant Companies for the purpose of considering and approving, with or without modification, the Scheme. It has also been prayed to direct (i) publication of the notice of the proposed meetings in "Financial Express" (English Language, Chandigarh and Punjab Edition) and "Jag Bani" (Punjabi Language, Jalandhar Edition) Newspapers; and (ii) service of notice of the Application on the Statutory Authorities.

2. The Scheme provides for Demerger of 'Real Estate Business' of Applicant No.1 into Applicant No.2 on going concern basis; and various other matters incidental, consequential or otherwise integrally connected with the aforesaid Demerger. The said Scheme has been attached as Annexure A-4 of the Application.

3. The Applicant No.1 and 2 have their respective registered office in the State of Punjab. Hence Applicant Companies are under the territorial jurisdiction of this Bench.

FACTS OF THE CASE

4. The facts of the case, as stated in the Application, are summarised below:

(i) The Demerged Company was originally incorporated under the provisions of the Companies Act, 1956, as a private limited company vide Certificate of Incorporation dated 25th November, 1971 with the name and style as 'Midland Motor Finance Company Pvt Ltd'. It was converted into a public limited company and its name was changed to 'Midland Motor Finance Company Ltd' on 3rd August, 2001. It was, subsequently, again converted into a private limited company and its name was changed to 'Midland Motor Finance Company Pvt Ltd' on 25th September, 2019. Its name was finally changed to 'Glosec Finance Private Limited' on 9th June 2020.

It is registered with the Reserve Bank of India (hereinafter referred to as the "RBI") as a non-deposit accepting Non-Banking Financial Company (hereinafter referred to as the "NBFC"). It is engaged in investment in shares and other securities, providing loans and advances and other related activities as well as in real estate business and other ancillary activities and has two business verticals- NBFC and Real Estate. A copy each of Its Memorandum and Articles of Association and its 'Master Data'

as available on the online portal of the Ministry of Corporate Affairs/ the Registrar of Companies, have been enclosed with the Application as Annexure: A-1/1. The detailed objects, as set out in its Memorandum of Association are briefly stated as below:

Main Objects:

1. *To lend money either with or without security upon such terms and conditions as the company may think fit and to guarantee the performance of the contract by any such persons.*
2. *To carry out in India and elsewhere in all its branches the business of capitalists, concessionaries, merchants, hire purchase, land development and housing schemes, film and general finance investment, supervision, administration and control of any business or operation.*
3. *To purchase, sell or hi re out or sell by installments or on hire purchase system all kinds of motor vehicles , motorcycles, cycles , auto rickshaws, aeroplanes, launches, boats (mechanical or otherwise) sewing machines, office machines and equipment, tape recorders, radio and cameras, electric fans, refrigerators, air conditioners, cine laboratory and stud io equipment, cinematograph machines apparatus , heaters and other household equipment and electronic gadgets all classes of printing and industrial machinery or any other allied article or article that the company may deem fit.*
4. *To purchase , develop, construct , take on lease or exchange or otherwise acquire, foreclose , purchase on auction , hire lease, exchange, mortgage, pledge, charge, hypothecate, dispose off or otherwise deal with any property or rights in property or to advance or lend money on or arrange loan on mortgage on any buildings, houses, bungalows, factories, trad e premises, plants, machinery, public building, land, farms, works, patents, inventions, or any kind of asset or property (movable or immovable) rights or things in auction in any manner or form whatsoever.*
5. *To foreclose any property under mortgage to the company and enter in possession, hold own let out, lease maintain improve, sell or otherwise deal with properties which the company may become entitled by foreclosure or otherwise and for the purpose of better realising security to purchase the equity or redemption of or any other shares or other interest in any properly upon which or upon any interest in which the company any have a charge.*
6. *To purchase, sell and deal in government promissory notes and securities, port trust debentures, corporation securities, shares and stock.*
7. *To undertake research. valuation. and provide consultancy services for acquisition or construction of real estate business.*
8. *To carry in india the business or Marketing, Promoting, Advertising or dealing in any type or the above activities to customers. both in external and interna l markets. on its own or through network marketing of whatever sort or nature including Print & Electronic Media, E-Mailer, Text, social media, Hoardings, Pamphlets etc.*
9. *To devise a personalized E-Mailer, as a powerful marketing tool for fast mass mailer to manage email campaigns for customers.*
10. *To carry on the business of advertising, market research, public relations, sales promotion and specialist communications and to*

develop concepts for advertising, marketing, research, sales promotion and similar operations.

11. *To carry on the business of providing manpower placement, consultancy and recruiting, selecting, interviewing, training and employing all types of executives, middle management staff, junior level staff, workers, laborers skilled/ unskilled required to individual, body corporate, societies, undertakings, institutions, associates. government, local authorities etc and carry on the business of providing services as human resources managers, consultants and advisors and to provide contractual advice and guidance on employment matters and other human resource services.*

12. *To carry on the business of including but not limited to providing insurance services, marketing services, promotion, advertising, dissemination of information whether online and offline publicity including data/documents/ product collection/ process, lead generation, trade activities,*

Its present authorised share capital is Rs.3,00,00,000/- divided into 3,00,000 equity shares of Rs.100/- each and present issued, subscribed and paid-up capital is Rs.2,58,82,900/- divided into 2,58,829 equity shares of Rs.100/- each. It has also issued 2,210 secured non-convertible debentures of Rs.1000/- each aggregating Rs.22,10,000/-. A copy of its audited Balance Sheet as at 31st March, 2024, and the Statement of Profit and Loss for the year ended on that date along with the Auditors' Report thereon, have been with the Application as Annexure: A-1/2. It is stated that subsequent to the date of the aforesaid Audited Financial Statements, there has not been any substantial change in its financial position except those arising out of or resulting from the normal course of business.

(ii) The Resulting Company has recently been incorporated under the provisions of the Companies Act, 2013, as a private limited company vide Certificate of Incorporation dated 6th August, 2024, issued by the Registrar of Companies, Central Registration Centre on behalf of the jurisdictional Registrar of Companies, Punjab, Chandigarh to carry on real estate business and other related activities. A copy of its Memorandum and Articles of Association and its Master Data has been enclosed as Annexure

A-2/1 of the Application. The detailed objects, as set out in its Memorandum of Association are briefly stated as below:

Main Objects:

1. *To carry on the business of buying, purchasing or otherwise acquire any immovable property of all kinds and description and right, title and interest therein and to carry on the business of renting and operating of self -owned or leased real estate and to provide plots and furnished and unfurnished flats or apartments for permanent use including development of building projects for own operation, like for renting, subdividing real estate into lots, without any land improvement and operation of residential home site and to provide advisory services for all types of real estate projects for the purpose, sale, construction, letting or otherwise and undertake agency functions.*

2. *To carry on in India or abroad the business of advertising & publicity agents and contractors and for this purpose to purchase sell, sponsor, hire, charter, manage, acquire, undertake, hold, provide & promote, publicity or advertising time space or opportunity on any radio station, internet, broadcasting centre, television centre, videocassettes, audio cassettes, hoardings, neon sings, electronic display board, cinema cable network, newspapers, magazines, souvenirs and all other present and feature medias or display devices and to do all incidental acts and things necessary for the attainment of objects under these presents.*
3. *To carry on India the business of concept marketing, direct marketing, multilevel marketing, network marketing multi-link gift schemes and to provide high quality of services and products to clients and consumers either directly or through the network of members, consultants, bonafide commission agents, franchises, associates and distributors of multi-level marketing through network publicity, market research analyses, surveys, organizing events, contest, seminar and other advertising and related outdoor activities and to provide multi-level marketing of all types of products/services/consultancy on the internet and other forms of marketing to act as even to organizers, advertisers ,marketing, publicity, stage shows, e-commerce and all other activities related thereto.*

Its present authorised share capital is Rs.24,00,000/- divided into 2,40,000 equity shares of Rs.10/- each and issued, subscribed and paid-up capital is Rs.24,00,000/- divided into 2,40,000 equity shares of Rs.10/- each.

As it is recently incorporated on 6th August, 2024, it will prepare its first audited financial statements for the financial year ending 31st March, 2025. It has prepared the unaudited financial statements (provisional) for the period ended 20th September, 2024 and a copy of which has been enclosed with the Application as Annexure: A-2/2. It has been stated that subsequent to the date of the aforesaid un-audited financial statements,

there has not been any substantial change in its financial position except those arising out of or resulting from the normal course of business.

(iii) The Board of Directors of the Demerged Company and Resulting Company in their respective meetings held on 24th September, 2024, considered and unanimously approved the Scheme subject to sanctioning of the same by this Tribunal. The List of Board of Directors & extracts of the minutes of the above-mentioned Board meetings have been attached with the Application of the Demerged Company as Annexure: A-1/3 & A-1/4 respectively and of Resulting Company as Annexure: A-2/3 & A-2/4 respectively.

(iv) As per the information available with the Demerged Company and Resulting Company, as on the date of this Application, no proceeding for inspection, inquiry or investigation under the provisions of the Companies Act, 2013, or under the provisions of the Companies Act, 1956, or under any other law is pending against the Demerged Company and Resulting Company. Further, no material legal proceeding is pending against the Applicant Company.

(v) The circumstances which justify and/or necessitate the Scheme and benefits of the Demerger to the Shareholders and other stakeholders are summarised as below:

- *The Demerged Company is making serious efforts to structure and streamline its operations to achieve growth in its Core Business of NBFC as well as in the Real Estate activities.*
- *To exploit the emerging opportunities and to provide better management focus, achieve greater efficiencies, unlock the true value of its businesses, and accelerated growth, the Management is proposing to hive off the Real Estate*

Business of the Demerged Company into the Resulting Company to segregate the same from its core business activities.

- *Entire NBFC Business will be retained in the Demerged Company itself.*
- *The proposed Demerger will be an important step in risk mitigation and will be in sync with the RBI philosophy. It will also facilitate administrative convenience and ensure optimum utilisation of various resources by the respective Companies.*
- *The proposed Demerger will enable the Demerged Company and the Resulting Company to raise necessary funds, invite strategic investors and other stakeholders for their respective businesses. Both these Companies may devise suitable compensation package for their respective human resource.*
- *The proposed Demerger will provide scope for independent expansion of various businesses. It will strengthen, consolidate and stabilize the business of these Companies and will facilitate further expansion and growth of their business.*
- *The proposed Demerger will have beneficial impact on the Demerged Company and the Resulting Company, their employees, shareholders and other stakeholders and all concerned.*

(vi) As per the report on valuation of shares & share exchange ratio issued by CA Sandeep Kumar Agrawal, IBBI Registered Valuer in respect of securities or financial assets, enclosed with the Application as Annexure: A-3, the following Share Exchange Ratio has been proposed for the Scheme:

> The Resulting Company will issue 51 Equity Shares of Rs.10/- each, credited as fully paid-up, to the Equity Shareholders of the Demerged Company for every 100 Equity Shares of Rs.100/- each held in the Demerged Company. Any fraction arising out of the aforesaid exchange process, if any, will be rounded off to nearest whole number.

(vii) The Board of Directors of the Demerged Company and the Resulting Company, based on the report on valuation of shares & share exchange ratio; and on the basis of their independent evaluation and judgment, concluded that the proposed exchange ratio is fair and reasonable to the

Shareholders and other stakeholders of all the Companies and has unanimously accepted the report.

(viii) All assets and liabilities including Income Tax and all other statutory liabilities, if any, of the 'Real Estate Business' of the Demerged Company will be transferred to and vest in Resulting Company as a going concern.

(ix) All the Transferring Employees of the Demerged Company, in service on the Effective Date, shall become the employees of the Resulting Company on such date without any break or interruption in service and upon terms and conditions not less favorable than those applicable to them in the Demerged Company on the Effective Date.

(x) Appointed Date for the Scheme will be the same as the Effective Date, or such other date as may be mutually decided by the Board of Directors of the Demerged Company and the Resulting Company with the approval of the Tribunal, or such other date as the Tribunal, or any other Appropriate Authority may approve.

(xi) The provisions relating to the accounting treatment for the proposed Arrangement, as contained in the Scheme, is in conformity with the applicable provisions of the Companies Act, 2013, Accounting Standards prescribed under Section 133 of the Companies Act, 2013, and Generally Accepted Accounting Principles. The certificates from the respective Statutory Auditors of the Demerged Company and the Resulting Company have been enclosed with the Application as Annexure: A-5.

(xii) The Scheme does not envisage any corporate debt restructuring. There is no proposal to restructure or vary the debt obligation of the Demerged Company and the Resulting Company towards their respective creditors.

(xiii) Under the Scheme, no compromise is being proposed with any Secured or Unsecured Creditors of the Demerged Company and the Resulting Company. The Scheme is not prejudicial to any Secured or Unsecured Creditors of the Demerged Company and the Resulting Company.

(xiv) The Scheme will not adversely affect the rights of any of the creditors of the Demerged Company and the Resulting Company. Post-Scheme assets of these Companies will be sufficient to meet all the liabilities in ordinary course of business.

(xv) The Scheme does not envisage any buy back of shares. There is no proposal for reduction of share capital of the Applicant Companies except to the extent of utilisation of reserves and surplus by the Demerged Company and the Resulting Company, as the case may be, to account for the proposed Demerger in their respective books of accounts. It is, however, clarified that such utilisation of reserves & surplus would not involve either the diminution of any liability in respect of unpaid share capital or payment to any shareholder of any paid-up share capital. Hence, no creditor of the Applicant Companies will be adversely affected.

(xvi) None of the Applicant Companies has accepted any Public Deposit as on the date of this Application. The Demerged Company has issued Secured Non-Convertible Debentures. The Resulting Company, however, has also not issued any Debenture as on the date of this Application.

(xvii) The Applicant Companies have not filed any Application or Petition with the same cause of action in the past.

(xviii) No Director or Key Managerial Personnel of the Demerged Company and the Resulting Company has any material and/ or adverse interests in the Scheme save and except as such Director, KMP or Shareholder.

(xix) The Scheme is for the benefit of all the Companies, their Shareholders and other stakeholders; is fair and reasonable and is not detrimental to the interest of the public or any person.

(xx) The Demerged Company is a closely held private limited company and has 48 Equity Shareholders as per the list of Equity Shareholders, certified by the Chartered Accountants, enclosed with the Application as Annexure: A-1/5. As obtaining consent from its all the Equity Shareholders is not practically feasible, it is proposed to convene a meeting of its Equity Shareholders through video conferencing with facility of remote e-voting, under the supervision of this Tribunal to consider and approve the Scheme.

(xxi) As on 31st March 2024, the Demerged Company has 5 secured Non-convertible Debenture holders as per the list of Secured Non-Convertible Debenture holders, certified by the Chartered Accountants, enclosed as Annexure: A-1/6 of the Application. Except the Secured Non-Convertible Debentures, it does not have any other Secured Creditor. It has proposed to convene a meeting of its Secured Non-Convertible Debenture holders through Video Conferencing with facility of remote e-voting, under the supervision of this Tribunal to consider and approve the Scheme.

(xxii) As on 31st March, 2024, the Demerged Company has 11 Unsecured Creditors as per the list of Unsecured Creditors, certified by the Chartered Accountants, enclosed as Annexure: A-1/7 of the Application. It has proposed to convene a meeting of its Un-secured Creditors through Video Conferencing with facility of remote e-voting, under the supervision of this Tribunal to consider and approve the Scheme.

(xxiii) In addition to the aforesaid Unsecured Creditors, as on 31st March, 2024, the Demerged Company had some "Statutory Dues & Provisions" as per the list of "Statutory Dues & Provisions" giving relevant details and payment status, certified by the Chartered Accountants, enclosed as Annexure: A-1/8 of the Application, which have either been paid in full since then or being provision in nature, are not due for payment as on the date of this Application. It has submitted that if this Tribunal deems fit and proper, these Statutory Dues & Provisions may be excluded for the purpose of convening the meeting of the Unsecured Creditors of the Demerged Company under the supervision of the Tribunal. Alternatively, these Statutory Dues & Provisions (partially or fully) may also be included for the purpose of convening the meeting of the Un-secured Creditors of the Demerged Company under the supervision of the Tribunal.

(xxiv) The Demerged Company has also enclosed a Reconciliation Statement of the liabilities side of its audited balance sheet as at 31st March, 2024 vis-a-vis the lists of Shareholders, Secured Debenture holders, Unsecured Creditors and Statutory Dues & Provisions certified by the Chartered Accountants as Annexure: A-1/9.

(xxv) The Resulting Company is a closely held private limited company and has 2 Equity Shareholders and both the Equity Shareholders have given their Written Consents/NOC by way of Affidavit for the Scheme. List of its Shareholders, certified by the Chartered Accountants, and their Consent Affidavits, in original, have been enclosed with the Application as Annexure: A-2/5. In view of the Consent Affidavits given by Equity Shareholders, it has sought dispensation from the requirement of convening meetings of its Equity Shareholders under the supervision of this Tribunal for consideration and approval of the Scheme.

(xxvi) As on 20th September, 2024, the Resulting Company does not have any Secured Creditor. Nil list of Secured Creditors, certified by the Chartered Accountants, have been enclosed with the Application as Annexure: A-2/6.

(xxvii) As on 20th September, 2024, the Resulting Company has only 1 Unsecured Creditor and the said Un-secured Creditor has given his Written Consent/NOC by way of Affidavit for the Scheme. List of Unsecured Creditors, certified by the Chartered Accountants, and their Consent Affidavit, in original, have been enclosed with the Application as Annexure: A-2/7. In view of the Consent Affidavits given by its Unsecured Creditors, it has sought dispensation from the requirement of convening meetings of its Un-secured Creditors under the supervision of this Tribunal for consideration and approval of the Scheme.

(xxviii) The Applicant Companies have furnished the status of consent of the Equity Shareholders, Secured Creditors and Unsecured Creditors as follows:

Company	**Equity Shareholders**		**Secured Non-Convertible Debenture holders**		**Secured creditors**		**Unsecured creditors**	
	Total	**Consent**	**Total**	**Consent**	**Total**	**Consent**	**Total**	**Consent**
Demerged Company	48	Meeting to be convened	5	Meeting to be convened	N/A	N/A	11	Meeting to be convened
Resulting Company	2	2 (100%)	N/A	N/A	Nil	N/A	1	1 (100%)

(xxix) In terms of the provisions of Section 230(5) of the Act, Rule 8 of the Rules, 2016, and other applicable provisions, if any, notice of the present Application/Scheme may be served on the Statutory Authorities namely: (a). The Central Government through the Office of the Regional Director, Northern Region, Ministry of Corporate Affairs, New Delhi (b) The Registrar of Companies, Punjab and Chandigarh, Chandigarh (c) The Income Tax Department (d) The Reserve Bank of India, Department of Non-banking Supervision (DNBS), Chandigarh.

(xxx) The Demerged Company is registered with the RBI as a non-deposit accepting NBFC and notice of this Application is, accordingly, required to be served on the RBI for their comments, if any. However, the Scheme will not result in any change in the capital structure of the Demerged Company and the Scheme will not result in any change in management or control of the Demerged Company. Hence, no formal approval or NOC is required from the RBI for the Scheme in terms of the provisions of the RBI Regulations.

(xxxi) None of the Applicant Companies is a subject matter of dissolution. Hence, notice of the Application/Scheme is not required to be served on the Official Liquidator, Ministry of Corporate Affairs, Chandigarh.

(xxxii) The Scheme does not attract the provisions of the Competition Act, 2002. Hence, no intimation to or approval from theCompetition Commission of India (hereinafter referred to as the "CCI") is required for the Scheme in terms of the provisions of the Competition Act, 2022, the CCI (Procedure in regard to the transaction of business relating to combinations) Regulations, 2011, Rules, Regulations and Notifications issued thereunder and other applicable provisions, if any. The Certificate of the Chartered Accountant giving relevant details and confirming that the Scheme does not attract the provisions of the Competition Act, 2002, has been enclosed with the Application as Annexure: A-6.

(xxxiii) None of the Applicant Companies is regulated or governed by the Securities and Exchange Board of India (hereinafter referred to as the "SEBI"), or any other Sectoral Regulator or Regulatory Authority. Hence, notice of this Application is not required to be served on the SEBI, or any other Sectoral Regulator or Regulatory Authority.

ANALYSIS AND FINDINGS

5. Since this is the first motion application seeking order for dispensation/ convening of the meetings of Equity Shareholders, Debenture Holders, Secured Creditors and Unsecured Creditors of the Applicant Companies, the analysis has been limited to that and other issues would be analysed at the time of the Second Motion Company Petition of the Applicant Companies.

6. It is further noted from the Index of Charges in the Master Data of the Petitioner Company that the following charges are yet to be satisfied:

Sr. No	SRN	Charge Id	Charge Holder Name	Date of Creation	Date of Modification	Date of Satisfaction	Amount	Address	Whether charge registered by other entity	Asset Holder Name
1	AA1202934	100663449	AGILE FINSERV PRIVATE LIMITED	15/12/2022	-	-	25,00,000	11 , Ground Floor, City Square Building Near Kesar Petrol Pump, EH-197, Civil Li,ne,Jalandhar, Jalandhar - I, Punjab, India, 144001	No	-
2	T51478121	100483830	AGILE FINSERV PRIVATE LIMITED	01/09/2021	-	-	80,00,000	11 , Ground Floor, City Square Building,Near Kesar Petrol Pump, EH-197, Civil Line,Jalandhar, , India, 144001	No	-
3	G38764049	100086792	Adv. Kumar Uttam	22/02/2017	-	-	53,30,000	H.No.161, New Shivaji Nagar,Gali no. 7, Basti Danishmanda,Jalandhar, Punjab, India, 144002	No	-
4	G28047280	100065097	Adv. Kumar Uttam	07/11/2016	-	-	1,80,35,000	H.No.161, New Shivaji Nagar,Gali no. 7, Basti Danishmanda,Jalandhar, Punjab, India, 144002	No	-
5	G05649744	100034644	Adv. Kumar Uttam	28/05/2016	-	-	1,49,07,000	H. No. 161, New Shivaji Nagar,Gali No. 7, Basti Danishmanda,Jalandhar, Punjab, India, 144002	No	-
6	C64970221	10596150	CA Sangeeta Sharma	26/08/2015	-	-	70,95,000	Moti Bazzar, Pujan Mohalla, Phagwara,Phagwara, Punjab, India, 144041	No	-

It is not clear from the Scheme whether these charge on the assets would be transferred to the Resulting Company alongwith Demerged Undertaking or would remain with the Demerged Company with its remaining business. The Applicant Companies need to clarify the same.

7. As per financial statements for the year ended 31st March, 2024 of the Demerged Company, it has Property, Plant and Equipments- Tangible Assets amounting to Rs.2,44,62,626/- as shown below:

Amounts in Rupees Hundreds

NOTE - 11 PROPERTY, PLANT AND EQUIPMENT- TANGIBLE ASSETS

		COST				DEPRECIATION				WRITTEN DOWN VALUE AS ON	
S No.	TANGIBLE ASSETS	AS ON 01.04.2023	Addition	SALE/ TRANSFER	BALANCE	AS ON 1.4.2023	Addition	Adjusted	Total	31.3.2024	31.3.2023
1	FREEHOLD LAND	239,215.97	-	-	239,215.97	-	-	-	-	239,215.97	239,215.97
2	LEASEHOLD LAND	3,891.90	-	-	3,891.90	-	-	-	-	3,891.90	3,891.90
3	BUILDING AT	2,407.11	-	-	2,407.11	1,972.96	17.80	-	1,990.76	416.35	434.15
4	FURNITURE & FIXTURES	2,613.29	-	-	2,613.29	2,572.89	-	-	2,572.89	40.40	40.40
5	VEHICLE (CARS)	10,604.29	-	-	10,604.29	10,204.57	-	-	10,204.57	399.72	399.72
6	VEHICLE (OTHERS)	1,197.80	-	-	1,197.80	1,178.16	-	-	1,178.16	19.64	19.64
7	OFFICE EQUIPMENT	9,968.08		-	9,968.08	9,091.74	234.06	-	9,325.80	642.28	876.34
8	COMPUTERS	5,265.40	-	-	5,265.40	5,265.40	-	-	5,265.40	-	-
	TOTAL ..... Rs.	275,163.84	-	-	275,163.84	30,285.73	251.86	-	30,537.59	244,626.26	244,878.12

It is noted from the Proforma Balance Sheet of 31st March, 2024 of the Demerged Business attached with the Valuer report that almost entire tangible assets would be transferred to Resulting Company.

Glosec Finance Pvt Ltd
(The Demerged Company)

Calculation of Net Asset Value
(As on 31st March, 2024)

Particulars	Amount (₹)	Amount (₹)	Amount (₹)
	Demerged Business	Remaining Business	Entire Company
Non-current Assets			
Fixes Assets	2,44,09,043.50	53,582.00	2,44,62,625.50
Non-current Investments		74,11,030.00	74,11,030.00
Other Non-current Assets		1,98,475.00	1,98,475.00
Current Assets			
Cash & Cash Equivalents	31,347.00	98,05,658.71	98,37,005.71
Short-term Loans & Advances	81,398.00	3,45,93,000.00	3,46,74,398.00
Other Current Assets	43,430.00	61,35,394.00	61,78,824.00
Total Assets (A)	**2,45,65,218.50**	**5,81,97,139.71**	**8,27,62,358.21**
Non-current Liabilities	2,32,15,555.00	99,58,030.62	3,31,73,585.62
Current Liabilities	38,588.00	4,15,269.41	4,53,857.41
Total Liabilities (B)	**2,32,54,143.00**	**1,03,73,300.03**	**3,36,27,443.03**
Net Asset Value (NAV) [A-B] (C)	**13,11,075.50**	**4,78,23,839.68**	**4,91,34,915.18**

8. It is noted that the Independent Auditors Report on the financial statements of the Demerged Company for the year ended 31st March, 2024 has drawn the attention on the following:

Emphasis of Matter

Attention is invited to the following:

i. Balance of Parties i.e Sundry Debtors, Sundry Creditors, Advance from Customers, Advance Recoverable being unconfirmed as per Accounting Policy No.25(i).

In view of transfer of almost entire tangible assets of the Demerged Company and observation of the Independent Auditors, it is not clear, whether the remaining assets of Demerged Company would be sufficient to meet its liabilities. The RBI is requested to clarify the above in its report.

9. It is noted that the Memorandum of Association of Applicant Company 1 does not have the object clause providing for demerger and the Memorandum of Association of Applicant Company 2 does not have the object clause providing for acquisition arising out of demerger.

DIRECTIONS

10. Accordingly, the directions of this Bench in the present case are as under:

(I) **In relation to Demerged Company:**

a. The meeting of the Equity Shareholders be convened as prayed for, on such date, time and venue either personally/ physically or through video conferencing with facility of remote e-voting, as decided by the Chairperson with the consent of Alternate Chairperson and Scrutiniser, subject to individual notices of the meeting being issued.

The quorum of the meeting of the Equity Shareholders shall be 25 in number and 51% in value of the equity share capital. The proxy(ies) will not be counted for the calculation of the quorum for the above meetings of the Equity Shareholders. In case, the quorum is not present within half an hour from the time appointed for holding the meeting of Equity Shareholders, then the Chairman shall adjourn the meeting to the same day in the next week at the same time and place. The intimation about the adjourned meeting should be given to each member, as the case may be, through e-mail or by any other mode. If the quorum is still not present on such adjourned date, then the Chairman may furnish a report to that effect to this Tribunal within seven days thereafter.;

b. The meeting of Secured Non-Convertible Debenture holders be convened as prayed for, on such date, time and venue either personally/ physically or through video conferencing with facility of remote e-voting, as decided by the Chairperson with the consent of Alternate Chairperson and Scrutiniser, subject to individual notices of the meeting being issued;

The quorum of the meeting of the Secured Non-Convertible Debenture holders shall be 3 in number or 51% in value of the Secured Non-Convertible Debenture holders. In case the required quorum as noted above for the meeting of the Secured Non-Convertible Debenture holders is not present at the commencement of the meeting, the meeting shall be adjourned by 30 minutes and thereafter the persons present and voting shall be deemed to constitute the quorum.

c. There are no Secured Creditors, therefore there is no scope of any meeting.

d. The meeting of Unsecured Creditors be convened as prayed for, on such date, time and venue either personally/ physically or through video conferencing with facility of remote e-voting, as decided by the Chairperson with the consent of Alternate Chairperson and Scrutiniser, subject to individual notices of the meeting being issued.

The quorum of the meeting of the Unsecured Creditors shall be 6 in number or 51% in value of the Unsecured Creditors; In case the required quorum as noted above for the meeting of the Unsecured Creditors is not present at the commencement of the meeting, the meeting shall be adjourned by 30 minutes and thereafter the persons present and voting shall be deemed to constitute the quorum.

(II) **In relation to Resulting Company**:

a. The meeting of Equity Shareholders is dispensed herewith, keeping in view the shareholding and ownership pattern and the fact that both the Shareholders have given their consents by way of affidavits;

b. There are no Secured Creditors, therefore there is no scope of any meeting.

c. The meeting of the Unsecured Creditors is dispensed herewith, keeping in view the fact that the sole Un-secured Creditor has given its consent by way of affidavit.

(III) Justice (Retd.) S.D. Anand, Address: Flat No. A-9 Orbit Apartments, VIP Road, Zirakpur, Mobile No. 8968326699, email id: justicesdanand9@gmail.com is appointed as the Chairperson for meetings to be called under this order. An amount of ₹1,00,000/- (Rupees One Lakh Only) be paid for his services as the Chairperson.

(IV) Mr. Ankush Thakur, Advocate, Address: House No. 1647/1, Near Old Fort, Manimajra, Chandigarh-160101, Mobile No.: 7837577593 email id: advankushthakur@yahoo.com is appointed as the Alternate Chairperson for the meetings to be called under this order. An amount of ₹75,000/- (Rupees Seventy Thousand Only) be paid for his services as the Alternate Chairperson.

(V) Ms. Neelanchi Garg, Chartered Accountant, Address: House No. 1370, Sector 40 B, Chandigarh, Mobile No. 9501350700 email id: ca.neelanchi09@gmail.com is appointed as the Scrutinizer for the above meetings to be called under this order. An amount of ₹50,000/- (Rupees Fifty Thousand Only) be paid for her services as the Scrutinizer.

(VI) The fee of the Chairperson, Alternate Chairperson and Scrutinizer and other out of pocket expenses for them shall be borne by the Demerged Company.

(VII) The individual notices of the above meetings shall be served, to all the Equity Shareholders, Secured Non-Convertible Debenture holders, and Un-secured Creditors of the Demerged Company through registered post or speed post or through courier or e-mail, 30 days in advance before the schedule date of meeting, indicating the day, date, place and time as aforesaid, together with a copy of the Scheme, copy of explanatory statement with Valuation Report and any other documents, as may be prescribed under the Act, in the same manner as the notices shall be served to various authorities as per Section 230(5) of the Companies Act, 2013 read with Rule 8 of the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016. It is clarified that the notice of meetings published in the newspapers will not be deemed to be the notice to the Equity Shareholders, Secured Non-Convertible Debenture holders, and Un-secured Creditors.

(VIII) The audited accounting statement of Applicant Companies as on 31.03.2024 and the provisional accounting statement on a subsequent date in terms of Section 232 (2) (e) of the Act be also circulated for the aforesaid meetings.

(IX) Along with the notices, the Demerged Company shall also send, statements explaining the effect of the scheme on the creditors, key managerial personnel, promoters and non-promoter members, etc. along with the effect of the scheme on any material interests of the Directors of

the Company or the debenture trustees if any, as provided under sub-section (3) of Section 230 of the Act.

(X) The Demerged Company shall publish an advertisement with a gap of at least 30 clear days before the aforesaid meeting, indicating the day, date, place and the time of the meeting as aforesaid, in newspaper namely; “Financial Express” (English, Chandigarh and Punjab Edition) in English language and "Jag Bani" (Punjabi, Punjab Edition) in Punjabi language. It be stated in the advertisement that the Copies of the Scheme, Explanatory Statements etc. are required to be published pursuant to Section 230 to 232 of the Act. The advertisement shall also indicate that the explanatory statement required to be furnished pursuant to Sections 230 & 232 can be obtained free of charge at the registered office of the Applicant Companies. The Applicant Companies shall also publish the notice on their website, if any.

(XI) It shall be the responsibility of the Applicant Companies to ensure that the notices are sent under the signature and supervision of the authorized representative of the company on the basis of Board resolutions and that they shall file their affidavits in the Tribunal at least ten days before the date fixed for the meeting.

(XII) Voting shall be allowed on the “Scheme” through electronic means which will remain open for a period as mandated under Clause 8.3 of Secretarial Standards on General Meetings to the Applicant Company under the Act and the Rules framed thereunder.

(XIII) The Scrutinizer's report will contain his/ her findings on the compliance to the directions above.

(XIV) The Chairperson shall be responsible to report the result of the meeting to the Tribunal in Form No. CAA-4, as per Rule 14 of the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 within 7 (seven) days of the conclusion of the meeting. The Chairperson would be fully assisted by the authorized representative/Company Secretary of the Applicant Company and the Alternate Chairperson. The Scrutinizer will assist the Chairperson and Alternate Chairperson in preparing and finalizing the report.

(XV) The Demerged Company shall individually and in compliance of sub-Section (5) of Section 230 of the Act and Rule 8 of Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 send notices in Form No. CAA-3 along with copy of the Scheme, Explanatory Statement and the disclosures mentioned in Rule 6 of the "Rules" to (i) Central Government through the Regional Director (Northern Region), Ministry of Corporate Affairs, New Delhi; (ii) Jurisdictional Registrar of Companies; (iii) Income Tax Department through the Nodal Officer – Principal Commissioner of Income Tax, NWR, Aayakar Bhawan, Sector 17-E, Chandigarh by mentioning the PAN number of the Applicant Companies; (iv) Reserve Bank of India; (v) Authorities to whom the Statutory dues are payable as per financial statements of the Applicant No.1 and (vi) such other Sectoral Regulator(s) governing the business of the Applicant Companies, if any, stating that report on the same, if any, shall be sent to this Tribunal within a period of 30 days from the date of

receipt of such notice and copy of such report shall be simultaneously sent to the applicant company, failing which it shall be presumed that they have no objection to the proposed Scheme.

(XVI) The Applicant Companies shall furnish a copy of the Scheme free of charge within one day of requisition for the Scheme made by any creditor or member/shareholder entitled to attend the meeting as aforesaid.

(XVII) The authorized representative of the Demerged Company shall furnish an affidavit of service of notice of meeting and publication of advertisement and compliance of all directions contained herein at least a week before the proposed meeting.

11. All the aforesaid directions are to be complied with strictly in accordance with the applicable laws including forms and formats contained in the Rules as well as the provisions of the Companies Act, 2013 by the Applicant Company.

12. With the aforesaid directions, this First Motion Application stands allowed by giving liberty to the Applicant Companies to file Second Motion Petition in accordance with Rule 15 of the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016. A copy of this order be supplied to the learned counsel for the Applicant, who in turn shall supply a copy of the same to the Chairperson, Alternate Chairperson and the Scrutinizer immediately

Sd/-
Umesh Kumar Shukla
Member (Technical)

Sd/-
Harnam Singh Thakur
Member (Judicial)

November 12, 2024
Reet